

NEW TAX RETURN FORMS

The new income tax return forms, which replace the Saral forms, explain each and every section of the forms in detail, making them truly do-it-yourself guides for taxpayers

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It's that time of the year again when taxpayers across the country queue up in the sweltering heat to tell the government exactly how much they earned in the year. But filing your income tax return will be easier this year.

For one, the new income tax return (ITR) forms are more reader-friendly than the phased out Saral forms. Sure, they are lengthier than Saral but not as complicated. The Saral form was in very fine print, crowding 78 lines into a single page. As Finance Minister P. Chidambaram says, "You needed a magnifying glass and a keen eyesight to fill it up."

The format is easier too. Saral was an omnibus form to be used by all types of taxpayers with all types of taxable income. It made no distinction between pensioners, stock market traders, salaried people, consultants, self-employed professionals, businessmen and part-time workers. In the new scheme of things, taxpayers are categorised into eight different categories on the basis of the type of taxable income. Each category has to use a different form (see graphic).

**BYE BYE
SARAL
HELLO
CLARITY**

ITR 1

WHO IS IT FOR

The plain vanilla form is for people with only salary, pension and interest income

WHAT'S NEW IN IT

- Declaration of high-value financial transactions
- Form 16 details
- Details of tax-saving investments under Section 80C
- Details of any tax-free income

ITR 2

WHO IS IT FOR

Salaried people and pensioners who have other income (dividends and profits from mutual funds and shares, rental income, royalty) besides interest income

WHAT'S NEW IN IT

- All the information required in ITR 1
- Details of capital gains
- Details of set off and carry forward of losses

■ Details of income from house property (address of the property, rental income and details about the tenant, though his PAN is optional)

■ Details of income from other sources (sale proceeds of assets such as automobile, machinery)

■ Details of income of spouse or minor child if it is to be included in your income